

Chapter 5: The Impact of Changing Bengen's Assumptions

Many of the assumptions used in Bengen's research that led to the 4 percent rule are overly simplistic for real-world retirees. The next several chapters explore what happens when various assumptions change. This chapter maintains a focus on conservative spending from a volatile investment portfolio, and later chapters will further relax even these aspects. Exhibit 5.1 provides a list of the key assumptions we investigate in greater detail.

Exhibit 5.1

Assumptions for the 4% Rule